

FEDERAL MARITIME COMMISSION
Office of the Administrative Law Judges

ELLIPTIGO INCORPORATED, *Claimant*

v.

FLEXPORT INTERNATIONAL, LLC, *Respondent*.

DOCKET NO. 2001(I)

Served: March 18, 2024

BEFORE: Theresa DIKE, *Small Claims Officer*.

ORDER APPROVING SETTLEMENT AND DISMISSING PROCEEDING

On February 7, 2024, the Secretary of the Federal Maritime Commission issued a Notice of Filing of Small Claims Complaint and Assignment (“Notice”), stating that ElliptiGO Incorporated (“ElliptiGO”) had filed an informal complaint against Flexport International, LLC (“Flexport”). Claimant ElliptiGO alleges that Respondent Flexport violated 46 U.S.C. § 41102(c) and 46 C.F.R. §§ 545.4 and 545.5, in connection with detention and demurrage charges it imposed on ElliptiGO.

The Secretary instructed Respondent to file a response to the Claim by March 4, 2024, and to indicate whether it consents to the adjudication of the Claim under the informal procedures provided at Subpart S of the Commission’s Rules of Practice and Procedure (46 C.F.R. § 502.301-305). The Secretary also assigned the proceeding to the Chief Administrative Law Judge to designate a Small Claims Officer to adjudicate the proceeding.

Respondent requested and was granted additional time extending the deadline for its response to the Claim to March 19, 2024. On March 11, 2024, Claimant submitted a motion to dismiss together with a settlement agreement between it and Respondent, indicating that they had resolved their dispute.

Respondent has not yet filed a response to the Claim and did not object to the adjudication of this proceeding under the informal procedures. Accordingly, on March, 18, 2024, the Chief Administrative Law Judge assigned this proceeding to the undersigned for adjudication under the Commission’s informal procedures.

ElliptiGO asks that its complaint against Flexport be dismissed based on a settlement agreement between the parties resolving the issues in dispute. Pursuant to the Commission’s Rule 72(a)(3):

[A]n action may be dismissed at the complainant's request only by order of the presiding officer, on terms the presiding officer considers proper. If the motion is based on a settlement by the parties, the settlement agreement must be submitted with the motion for determination as to whether the settlement appears to violate any law or policy and to ensure the settlement is free of fraud, duress, undue influence, mistake, or other defects which might make it unapprovable. Unless the order states otherwise, a dismissal under this paragraph is without prejudice.

46 C.F.R. § 502.72(a)(3). Although Rule 72, governing dismissal of Commission proceedings, is not applicable to Subpart S proceedings, the undersigned used the rule as guidance for ruling on Claimant's request to dismiss the Claim.

The Commission's regulations allow settlements by litigating parties; however, the Commission requires that settlement agreements be submitted "for determination as to whether the settlement appears to violate any law or policy and to ensure the settlement is free of fraud, duress, undue influence, mistake, or other defects which might make it unapprovable." *Maheer Terminals v. The Port Authority of N.Y. & N.J.*, 34 S.R.R. 322, 325 (FMC 2016). In reviewing settlement agreements, the Commission is guided by its "strong and consistent policy of encouraging settlements and engaging in every presumption which favors a finding that they are fair, correct, and valid." *Maheer Terminals*, 34 S.R.R. at 326 (quoting *APM Terminals North America, Inc. v. Port Authority of N.Y. & N.J.*, 31 S.R.R. 623, 626 (FMC 2009)).

"While following these general principles, the Commission does not merely rubber stamp any proffered settlement, no matter how anxious the parties may be to terminate their litigation." *Old Ben Coal Co. v. Sea-Land Serv., Inc.*, 18 S.R.R. 1085, 1092 (ALJ 1978). However, if a "proffered settlement does not appear to violate any law or policy and is free of fraud duress, undue influence, mistake or other defect which might make it unapprovable despite the strong policy of the law encouraging approval of settlements, the settlement will probably pass muster and receive approval." *Id.* at 1093. "[I]f it is the considered judgment of the parties that whatever benefits might result from the vindication of their positions would be outweighed by the costs of continued litigation and if the settlement otherwise complies with law the Commission authorizes the settlement." *Delhi Petroleum Pty. Ltd. v. U.S. Atlantic & Gulf/Australia – New Zealand Conf. and Columbus Line, Inc.*, 24 S.R.R. 1129, 1134 (ALJ 1988).

Pursuant to the settlement agreement between the parties, Flexport undertakes to pay ElliptiGo the sum of \$30,000 upon execution of the settlement agreement, and ElliptiGO agrees to dismiss its Claim at the Commission upon receipt of the payment. Settlement Agreement at 2 ¶ 2.¹

The parties represent that they have "had the benefit of counsel and of their own attorney," that they "fully understand the terms of this Agreement," and have signed "it voluntarily as their own free act and deed." Settlement Agreement at 6-7 ¶¶ 11 and 13.

¹ In a subsequent email Flexport states that it has already paid this amount to ElliptiGO. See email from Flexport dated March 14, 2024.

A review of the settlement agreement, which is signed by both parties, does not show any indicia of fraud, duress, undue influence, or mistake, and appears to reflect an arm's-length resolution between the parties. The terms appear to be fair, reasonable, and adequate. Accordingly, the parties' settlement agreement is approved, and this proceeding dismissed.

Upon consideration of the proposed settlement and Claimant's motion to dismiss its Claim, and for the reasons stated above, it is hereby

ORDERED that the settlement agreement be **APPROVED**. It is

FURTHER ORDERED that this proceeding be **DISMISSED**.

THERESA DIKE  Digitally signed by THERESA DIKE
Date: 2024.03.18 12:55:57 -04'00'

Theresa Dike
Small Claims Officer